

THE BUYER'S SIDE OF THE TABLE

The Franchise Buyer's Playbook

Worksheets, cost math, and the questions that actually change a decision — written for the person writing the check, not the person collecting it.

7 must-answer questions

Red flags & green lights

Location scorecard

Startup & monthly cost sheets

12-month forecast

Competition tracker

10-week opening countdown

Exit planning

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How to use this playbook

This is a working document, not a brochure. Print it, write in it, and take it to the meetings. Most of the value is in the blank cells — the ones you have to go find the numbers to fill.

It is organized in two halves, and the order is deliberate.

The first half is the decision. Seven questions, a red-flag list, and a green-light list. If a brand fails here, nothing in the second half matters, and you have saved yourself several months and a non-refundable deposit. Work this section before you fall in love with a concept.

The second half is the execution. Five phases — location, financials, competition, pre-opening, and the grand opening countdown. This is where you go once you have decided, and it is where most of the worksheets live.

THE DARK BLOCKS SHOW YOU THE DEPTH OF THE READ

Seven sections carry a block headed **"From the \$199 report,"** and one points at a free worksheet on our site. Each lists what our engine produces for that part of the decision — not a summary, the actual output names. They are there so you can see how much of a Franchise Disclosure Document has to be read, and read against itself, before any of these questions has an honest answer. Nothing in this playbook requires you to buy anything.

THE ONE IDEA WORTH TAKING AWAY

Almost everything you will read about a franchise was produced by someone paid when you sign. Franchisor marketing, broker "matching" services, and most franchise media are seller-side. That does not make them dishonest — it makes them **optimistic in a predictable direction**. Your job in diligence is to supply the pessimism nobody else is paid to supply. Every worksheet here exists to make that easier.

What you'll need to fill it in

- **The Franchise Disclosure Document (FDD).** The franchisor must give it to you at least 14 days before you sign or pay anything. Item 7 is the initial investment range, Item 19 is financial performance, Item 20 is the outlet and franchisee turnover tables. Those three items answer most of what matters.
- **Three to five conversations with current franchisees** — and at least two with former ones. Item 20 lists them. The exit interviews are worth more than the endorsements.
- **Real local numbers.** Actual rent quotes for actual addresses, actual wage rates in your county. National averages will mislead you by more than any other single input.

Who wrote this

I spent twenty-plus years in product, private equity and M&A — which mostly means twenty years of reading documents written to make a deal look good, and learning where the soft spots usually are. When I started looking at franchises for myself, I was struck by how little of the available material was written for the buyer. This is the document I wanted and could not find.

PLEASE READ THIS PART

This playbook is **informational only** — not legal, financial, tax, or investment advice, and no substitute for a franchise attorney, an accountant, or your own reading of the FDD. Every figure these worksheets produce is an estimate built from inputs you supply. Buying a business carries real risk, including losing your entire investment. Verify everything against primary sources before you sign anything.

The 7 must-answer questions

If you cannot answer all seven with a specific number or a specific name, you are not ready to sign. "The franchisor says it's around..." is not an answer.

01

What does it actually cost to get the doors open — including the money that isn't in Item 7?

Item 7 gives a range, and the range is usually honest about the line items it includes. The gaps are what get people: additional rent during a build-out that runs long, the security deposit and personal guarantee, professional fees, and the working capital to survive the ramp. Take the **high end** of Item 7, then add three to six months of full operating cost on top. That is your real number.

02

What does a unit like the one I would own actually earn?

Item 19 is optional — a franchisor does not have to publish financial performance at all. If it does, read the fine print on which units are in the sample. "Top quartile," "units open more than three years," or "company-owned locations" describe a different business than the one you are buying. Ask for the median, not the average, and ask what the bottom quartile looks like.

03

How long can I fund a loss, and what happens on the day I can't?

Runway is the variable that kills otherwise-viable units. Model the month you run out of cash under a slow-ramp scenario, not the base case. Then decide in advance what you would do — more capital, a partner, or an exit — because deciding it under pressure produces the worst version of every option.

04

What exactly does corporate do for the fees, and who has ever tested it?

Royalty plus ad fund is commonly 8–12% of gross revenue, taken off the top regardless of profit. Get specific about what it buys: field support visits per year, marketing spend in your market, supply chain pricing. Then ask three franchisees whether they actually receive it. The gap between the support deck and the field reality is the single most useful thing a franchisee call can surface.

05

Why would a customer here choose this over what already exists?

Brand recognition is real, and it is not an advantage if three competitors within two miles have it too. Write one sentence a local customer would actually say. If it is generic, the location has to carry the whole business, and that raises the stakes on Phase 1 considerably.

06

How many units have closed, transferred, or been reacquired — and what's the trend?

Item 20 has the tables. Look at three years of terminations, non-renewals, and transfers as a percentage of the outlets open. A single bad year is noise. A rising line is the most reliable warning sign in the entire document, and it is the one prospective buyers most often skip.

07

If I want out in year five, who buys it and at what multiple?

Franchise agreements govern transfers: franchisor approval, transfer fees, and sometimes a right of first refusal. Read those clauses before you sign, not when you want to sell. See the bonus section on page 9.

Red flags and green lights

None of these is decisive alone. Three red flags together, or a red flag the franchisor will not discuss, is a different matter.

Red flags

- **No Item 19 at all.** Disclosure is optional; declining to disclose is a choice, and it is worth asking directly why the choice was made.
- **You can't reach current owners**, or the only ones offered are hand-picked by the franchise development team.
- **Former franchisees won't talk** — often a sign of settlements with non-disparagement clauses.
- **The model needs near-perfect performance to work.** If break-even requires top-quartile revenue and best-case labor, there is no margin for a normal year.
- **Rising closures or transfers** across three years of Item 20.
- **Heavy litigation history in Item 3**, especially franchisor-versus-franchisee.
- **Pressure to sign fast** — a "territory about to be taken," a deposit deadline, a discount that expires. The 14-day rule exists precisely because this works.
- **Required suppliers owned by the franchisor** with no pricing transparency.
- **The numbers don't reconcile to primary sources.** When the pitch deck and the FDD disagree, the FDD is the document that binds.

Green lights

- **A detailed Item 19** with medians, quartiles, and a clearly described sample.
- **An open franchisee list** and leadership that encourages you to call widely.
- **High owner retention** and multi-unit owners buying additional territories with their own money.
- **Unit economics that work at the median**, not just at the top.
- **Named, reachable field support** and a documented visit cadence franchisees confirm.
- **Several working marketing channels** rather than dependence on one.
- **Straight answers to uncomfortable questions.** The response to "which units are struggling and why" tells you more than any deck.
- **A functioning resale market** with real comparable transactions.

FROM THE \$199 REPORT · Item 20 — what happened to the other owners

11 OUTPUTS

Beginning-of-year unit count

Units opened

Units closed

Net growth rate

Closure rate

Transfers between owners

Reacquired by franchisor

Non-renewals

Terminations

Three-year churn trend

Side-door exit flag

A brand can post strong net growth and still be losing its operators. Ceased operations, terminations, non-renewals and transfers are four different ways out, reported in four separate tables. Only the sum of them tells you whether owners are leaving by choice.

Where these come from: Item 20, tables 1 through 5, read against each other. The tables use different denominators and different fiscal-year cutoffs; reconciling them is most of the work.

Run your brand through it → foundersplinko.com

Evaluate any location

National averages are the most dangerous input in franchise math. Rent, wages, and traffic are local, and the difference between a good and a bad site in the same city is routinely larger than the difference between two brands.

Site comparison worksheet

Get real quotes for real addresses. Fill one column per site and do not proceed on any site you have not visited at three different times of day.

Factor	Site A	Site B	Site C
Address / cross streets			
Square footage			
Base rent (per sq ft / yr)			
CAM, taxes, insurance (NNN)			
Total monthly occupancy			
Landlord TI allowance			
Free-rent period (months)			
Lease term / renewal options			
Personal guarantee required?			
Daily traffic count			
Parking spaces			
Visibility / signage rights			
Anchor tenants / co-tenancy			
Population within 3 miles			
Median household income			
Direct competitors within 2 mi			
Build-out estimate			
Estimated months to open			

What the rent number really costs

Occupancy is the one line on that worksheet you commit to for a decade and can never revise. Get the ceiling straight before you sit down with the broker, not after.

FROM THE \$199 REPORT · The occupancy ceiling8 OUTPUTS

Maximum sustainable monthly occupancy

Maximum rent per sq ft/yr, incl. NNN

Occupancy as % of modeled revenue

Required footprint and spec

Rent-to-revenue stress band

TI credit needed to hold break-even

Free-rent months required

Lease guarantee exposure

Rent is the one number you sign for ten years and can never revise. These give you the ceiling before you walk into the negotiation, so a broker’s quote is either inside it or it isn’t — and you find that out in the room, not in year two.

Where these come from: Item 7’s required build-out size and spec, Item 19’s revenue cohorts, and the lease exhibit where one is attached — three places that only mean something read together.

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WHAT TO NEGOTIATE, IN ORDER OF VALUE

- **Free rent during build-out.** Beats a lower base rate. It lands in the months you have no revenue at all.
- **TI allowance.** Landlord capital is the cheapest capital in the deal. It is not a loan and it does not dilute you.
- **Personal-guarantee burn-off at 24–36 months.** A full-term guarantee makes the lease a personal obligation for a decade, whatever happens to the business.
- **Exclusivity against a direct competitor in the center.** The landlord decides who opens two doors down. Once that space is leased, you have no say.
- **Renewal options at a defined rate.** An option to renew “at market” is not an option. It is a re-negotiation you enter with no leverage.

Detailed cost estimates & revenue modeling

Two separate questions, and people conflate them constantly: what does it cost to open, and what does it cost to run. Keep them on separate sheets.

A. One-time startup costs

Line item	FDD Item 7 range	Your estimate
Initial franchise fee		
Build-out / leasehold improvements		
Equipment & fixtures		
Signage		
POS & technology		
Opening inventory		
Security deposits (lease, utilities)		
Rent during build-out		
Licenses, permits, fees		
Insurance (initial)		
Training & travel		
Pre-opening labor & hiring		
Grand opening marketing		
Professional fees (attorney, CPA)		
Working capital reserve (3–6 months)		
TOTAL CAPITAL REQUIRED		

FROM THE \$199 REPORT · Capital fit

9 OUTPUTS

Declared Item 7 range

Summed Item 7 line items

Declared-vs-summed variance flag

Capital gap at the high end

Working-capital reserve, in months

Implied loan size

Equity injection required

Debt service at that loan

Costs excluded from the published range

The published investment range and the sum of the line items behind it are not always the same number. When they diverge, the direction of the divergence tells you something — and it is the first thing a lender's credit committee will ask you to explain.

Where these come from: Every line item in Item 7, plus the footnotes beneath the table, which is where the exclusions actually live.

Run your brand through it → foundersplinko.com

Monthly operating costs

The second half of the same exercise. One-time costs decide whether you can open. These decide whether you can stay open.

Line item	% of revenue	Monthly \$
Cost of goods sold		
Labor (incl. payroll taxes & benefits)		
Occupancy (rent + NNN)		
Royalty		
Ad fund / brand marketing		
Local marketing		
Utilities		
Insurance		
Repairs & maintenance		
Technology & POS fees		
Credit card processing		
Accounting / admin		
Debt service		
TOTAL MONTHLY COST		

FROM THE \$199 REPORT · What the franchisor takes, all in 10 OUTPUTS

Ongoing royaltyAd fund / brand contributionTechnology and software feesRequired local marketing minimumTotal take rate, all inAnnual dollars to the franchisorTransfer feeRenewal fee and its triggerFees that escalate on a schedulePage cite for every one

Almost every buyer can quote the royalty. Almost none can quote the all-in number, because it is assembled from a dozen separate obligations scattered across two Items and their footnotes — and it is the all-in number that sets what your labor is actually worth.

Where these come from: Item 5, Item 6, the fee footnotes, and the franchise agreement sections they cross-reference.

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YOUR OWNER’S SALARY IS A COST, NOT A RESIDUAL

Put a real market wage for your own role on the labor line before you call anything "profit." A unit that only works because the owner is unpaid is not a business you can sell, because the buyer has to hire someone to do what you were doing for free. This single adjustment reframes more deals than any other line on the sheet.

First 12 months & break-even

Build three scenarios, not one. The base case is the one you will show your lender. The slow case is the one you should fund.

12-month forecast

Ramp assumption: most units do not hit steady-state revenue until month 6–12. Model it.

Month	Revenue	COGS	Labor	Occupancy	Other	Net	Cash on hand
1							
2							
3							
4							
5							
6							
7							
8							
9							
10							
11							
12							

Break-even

Calculation	Your number
Fixed monthly costs (occupancy, salaried labor, debt, insurance, admin)	
Variable cost as % of revenue (COGS + hourly labor + royalty + ad fund + processing)	
Contribution margin (100% – variable %)	
Monthly break-even revenue (fixed ÷ contribution margin)	
Break-even revenue per day open	
Average ticket	
Transactions per day required	
Month you expect to reach it	
Cash required to get there (slow case)	

FROM THE \$199 REPORT · Break-even, converted to customers

9 OUTPUTS

Contribution margin

Break-even revenue, monthly

Break-even per operating day

Transactions per day required

Source cohort for the revenue assumption

Units reporting in that cohort

Quartile integrity flag

Months of cash to break-even

Slow-case break-even

A break-even in dollars is easy to nod at. The same number expressed as transactions per day is the one that tells you whether your trade area can physically produce it during a normal weekday lunch rush.

Where these come from: Item 19's cohort tables — including which subset of units the average was drawn from, how many were excluded, and whether the excluded ones share a trait.

Run your brand through it → foundersplinko.com

THE SANITY CHECK MOST PEOPLE SKIP

Convert break-even into **transactions per day** and then stand in the location during a normal weekday. If the number implies a customer every ninety seconds through the lunch rush and you are watching four people an hour walk past, the model is not conservative — it is fictional. This one conversion has stopped more bad deals than any spreadsheet.

The competition tracker

Visit every direct competitor within your trade area, in person, as a customer. Buy something. Note the time and the headcount. Two visits each — one peak, one off-peak.

Competitor	Distance	Price point	Peak headcount	Off-peak	What they do well	Where they're weak

Also check

- **Online review volume and trend** for each competitor — not just the star rating. A 4.2 with 900 reviews is a much stronger position than a 4.8 with 20.
- **What has closed in this trade area in the last three years**, and why. Vacant retail with a short history is the single most informative thing about a center.
- **Indirect competition.** Grocery prepared foods, delivery-only kitchens, and the office cafeteria all take share from a lunch concept without appearing on any competitive map.
- **Pipeline.** Call the city planning department and ask what has been permitted nearby. A competitor opening six months after you is a materially different business case.

FROM THE \$199 REPORT · Trade-area saturation and what you actually own9 OUTPUTS

Units per 100,000 population

Population per unit

Local metro saturation

Territory clause type

Territory basis: radius or population

Franchisor's reserved channels

Online and delivery carve-outs

Encroachment history

Development-schedule obligations

Two brands with identical unit counts can offer completely different protection. What matters is not how many units exist today — it is what the agreement permits the franchisor to put next to you tomorrow, and through which channels it can sell into your area without opening anything at all.

Where these come from: Item 12 in full, plus the reserved-rights language in the franchise agreement — often the single most consequential paragraph in the document.

Run your brand through it → [foundersplinko.com](#)

Your one-sentence advantage

Written as a local customer would say it, not as marketing would write it. If you cannot fill this in, the location has to carry the entire business.

Pre-opening: who does what

Most opening delays are ownership failures, not execution failures — a task nobody believed was theirs. Assign every line before you start, and confirm the corporate column with your field rep in writing.

Task	Corporate	You	Vendor / partner	Due	Done
Site approval					
Lease negotiation & execution					
Entity formation & EIN					
Financing close					
Architectural drawings					
Permits & inspections					
General contractor selection					
Equipment order & delivery					
Signage permit & install					
POS install & menu build					
Utilities & internet activation					
Insurance binding					
Health / fire / occupancy permits					
Hiring & onboarding					
Owner training completion					
Staff training					
Opening inventory order					
Local marketing launch					
Soft-open / friends & family					

FROM THE \$199 REPORT · The carry cost of a delay

8 OUTPUTS

Monthly carry cost, pre-opening

Total exposure at expected slip

Royalty clock start: signing or opening

Term start date

Deadline-to-open clause

Default triggers on delay

Liquidated damages exposure

Cure period

Delay is the most common thing that happens and the least common thing that gets modeled. The cost is not only the burn while you wait — it is whether the contract has already started running against you, and whether missing a date is a default rather than an inconvenience.

Where these come from: Item 11 and Item 17, plus the development schedule where the agreement carries one.

Run your brand through it → foundersplinko.com

BUILD THE SCHEDULE BACKWARD, AND PAD THE PERMITS

Pick the opening date, then work backward. The two line items that slip most reliably are **permits** and **equipment lead times**, and they slip in a way that costs you rent while producing no revenue. Add 30–50% to both estimates. If you finish early, that is a good problem.

The 10-week opening countdown

Counting backward from opening day. Adjust to your build, but keep the sequence — each week depends on the one before it.

Week	Focus	Owner	Done
-10	Confirm opening date with corporate and GC. Lock the marketing budget. Post job listings.		
-9	Begin interviews. Order signage if not already placed. Confirm equipment delivery dates in writing.		
-8	Claim and complete every local listing: Google Business Profile, Apple Maps, Yelp. Photos matter more than copy.		
-7	Hire the management layer first. Schedule owner training. Confirm the health inspection date.		
-6	Launch social accounts with build-out progress. Begin local partnership outreach — schools, offices, gyms, nearby employers.		
-5	Hire hourly staff. Finalize the opening schedule. Order opening inventory.		
-4	Equipment install and POS configuration. Test every station. Press and local media outreach.		
-3	Staff training begins. Run the full menu. Time every process against the standard.		
-2	Final inspections and certificate of occupancy. Friends-and-family soft open. Fix what breaks.		
-1	Second soft open at higher volume. Confirm delivery platforms are live. Grand opening promotion goes out.		
OPEN	Overstaff deliberately. You are buying reviews and repeat visits, not margin. Ask every satisfied customer for a review, that day.		
+1 to +4	Weekly: revenue vs. forecast, labor as % of revenue, COGS as % of revenue, review count and rating. Correct early.		

SPEND THE OPENING BUDGET ON RETENTION, NOT ATTENDANCE

A giveaway fills the room once with people who came for the giveaway. The number that predicts month six is **how many first-time customers come back in the first thirty days**. Staff heavily, keep the wait short, and put your marketing dollars into a reason to return rather than a reason to show up.

Start at the end

Almost nobody plans the exit while buying, and the exit is where the return actually gets realized. Ten minutes on this now changes which clauses you negotiate.

The uncomfortable statistic worth internalizing: **only a minority of small businesses that go to market actually sell** — the commonly cited range is roughly 20–30% of listings that complete a transaction. Of the ones that do, a meaningful share re-trade downward during diligence, when a buyer's accountant looks at the same books you have been looking at and reaches a different number.

That is not a reason to avoid buying. It is a reason to build the thing that survives diligence from day one.

What makes a franchise unit sellable

- **Clean books from month one.** Separate entity, separate accounts, no personal expenses run through the business. Every dollar of "add-back" you have to explain costs you multiple dollars of price.
- **The owner is replaceable.** Documented processes, a manager who runs the floor, and a business that does not depend on your relationships. Price a market-rate manager into your own P&L now, so the buyer's model matches yours.
- **Lease term remaining.** A buyer is purchasing your remaining lease as much as your revenue. Two years left is a discount; seven with options is an asset.
- **Transfer terms you read before signing.** Franchisor approval rights, transfer fees, training requirements for the buyer, and any right of first refusal. These sit in the franchise agreement and they materially affect both your buyer pool and your timeline.
- **A demonstrable trend.** Three years of flat revenue sells at a discount to two years of a rising line, even at the same absolute number.

THE CLAUSE TO FIND BEFORE YOU SIGN

Read the transfer section of the franchise agreement **now**, while you still have leverage and before any money has moved. Ask the franchisor directly how many units transferred last year and to whom. A brand with a functioning resale market will answer easily. A brand without one will change the subject, and that answer is worth having early.

Exit worksheet

Fill this in before you sign, not in year four. Every answer here is a term you can still negotiate today.

Question	Your answer
Target hold period	
Who is the likely buyer? (existing multi-unit owner, first-time buyer, franchisor)	
What multiple of SDE / EBITDA have comparable units in this brand traded at?	
Transfer fee and franchisor approval requirements (cite the agreement section)	
Is there a right of first refusal?	
Lease term remaining at target exit date	
What has to be true operationally for that multiple to hold?	

FREE TOOL · [FOUNDERSPLINKO.COM](#) · What the unit is worth, and who may buy it

9 OUTPUTS

SDE reconstruction

Value range at market multiples

Transfer fee

Franchisor approval right over your buyer

Right of first refusal

Then-current agreement clause

Remaining term at target exit

Buyer training obligations

Assignment conditions

Exit terms are set the day you sign and cannot be renegotiated later. These are the clauses that decide who is allowed to buy your unit, what they inherit when they do, and how much of the price never reaches you.

Where these come from: The transfer and assignment sections of the franchise agreement, cross-read against Item 17's table of contract provisions. This one is a standalone worksheet on our site, free, no email required — the sellability scorecard walks the same ground in more detail.

Work the scorecard → [foundersplinko.com/exit-strategy](#)

BEFORE YOU SIGN ANYTHING

Have someone read the FDD who isn't paid by the franchisor.

That's the whole business. Franchise brokers are paid a referral fee by the brand they place you with — commonly 40–50% of the initial franchise fee. We take no money from franchisors, ever. You are the client, so you get the answer that's actually useful to you.

The FranchiseEdge FDD Review

\$199

- What a unit actually earns, and what Item 19 leaves out
- What it really costs to open, including the line items that don't appear in the published ranges
- Turnover and closure rates from Item 20, and any place the numbers don't reconcile to primary sources
- The agreement terms most likely to cost you money later

If it doesn't change how you're thinking about the deal, we refund it. No argument, no form to fill out.

Get the FDD Review — \$199 →

<https://foundersplinko.com/?src=playbook-end>

Run any franchise through it yourself → **FranchiseEdge**

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